Notwithstanding this, advocates of demonetization have pointed out that digital payments have increased since demonetization and this is undoubtedly true, especially in respect of UPI payments.

However, as pointed out in an article by James Wilson,[27] the trend towards digitization preceded demonetization, and, even today, digital transactions are still a small percentage of cash transactions.

'The biggest year to year growth in overall retail digital transaction was recorded between 2011–12 to 2012–13 (53 per cent) and between 2012–13 to 2013–14 (49 per cent), while 2016–17 witnessed only a growth of 46 per cent from the previous financial year despite demonetization and a digital push. Despite their phenomenal growth, UPI and Prepaid Instruments (PPIs, e.g., e-wallets) are still a tiny fraction of total digital retail transactions, which themselves are still only 25 per cent of total retail transactions.'

Ajit Mozoomdar, former Finance Secretary and Secretary of the Planning Commission, summed up the situation well, saying:

> What is wholly unnecessary is forcing the pace of digital transactions between individual buyers and sellers in order to reduce the use of cash… The wrong-headed approach, treating cash transactions as undesirable and hence to be curtailed, sets impossible targets and will lead to wasted effort… The government would do well to concentrate on restoring normal cash flows in the economy in all parts of the country and dissuade the apologists from promoting absurd notions of the virtues of a cashless society.[28]

To Expand the Tax Base

It is a commonly held misconception that only a small percentage of Indians pay taxes. In fact, every single Indian pays tax, albeit indirect taxes in the form of GST (formerly VAT, Sales Tax, Excise Duty, etc.) on the goods and services we consume.[29]

The tax base that the Finance Minister was hoping to expand through the demonetization exercise was the Direct Tax base. More specifically, the objective was to get more people to pay income tax.